



us such a huge advantage. My job is [to ensure] they don't get diluted. Be flexible, but not at the cost of the brand.

It is critical to mention how the group culture plays an important role here and that is going beyond the call of duty. During the lockdown, I remember Sanjeev Kapoor (the well-known chef and my classmate from hotel management school) calling me to say we must do our bit by giving out food to those in need of it. Luckily, we had the funds. But the lockdown was prolonged and we were running out of money. That's when we got money from group companies such as TCS, as also Tata Sons, apart from folks in the Hindi film industry. That to me is luxury since these people knew the money would be put to good use. It started off with 250 meals a day, going all the way to 40,000 meals. All this was only on account of trust in the brand. The pandemic reminded all of us of the value of life and we contributed in a small way first from Mumbai and then from other cities—there were seven-eight cities in all. That is the power of the brand plus the emotional connect that it has with the customer.



Is luxury restricted in terms of its user base?

When you say luxury, it generally appears to be restricted to certain sections of the society. That is not entirely true. It is like going to a good school or college. I would

like to bring up the concept of heritage here. There is no substitute for it, [and it has] a very strong quotient and does not always need luxury. Heritage is irreplaceable and it could be a monument in any part of the world—be it London, Berlin or Paris—and it is good we have organisations preserving it.



Does luxury make good business sense?

Yes it does, and it ought to work financially. In accounting terms, it means the break-even point may go higher, but beyond that per unit profitability also takes off. Your ability to charge is higher accompanied by a lower cost of service and that gap can become disproportionate. You have to get to that certain number of units sold.

With a strong brand like the Taj, there is awareness and it allows you to charge that premium. Obviously, there is time taken for that process to come to fruition. As a new entrant, you need to target a higher market share and with a well-established brand, you have the opportunity to do things differently. To cite an instance, we opened our Taj Lakefront property in Bhopal. Here, we not only took away market share but also opened a new market.

The ability to charge also depends on market forces. If demand is up, we can charge more. Or if you are speaking of palaces, the ability is high since the guest goes there for the experience and not just for the room. You can't quantify luxury ever.

I have had many a pleasant surprise during my stint here. Pilibhit House in Haridwar is one such example, where we today charge ₹40,000 a night, or Anand Kashi by the Ganges in Rishikesh, where the tariff is over ₹20,000 per night. What we have noticed is the clear emergence of new trends. People are driving to different places. This speaks not only to our unique offerings and service excellence, but also to the prominence of spiritual tourism in India.

I have memories as a child of going to *ashrams*... or having a bath in the Ganges. What stands out was [that there was] never a hotel in any of these locations.



Is success driven by spotting latent demand?

I think it is. But if you try and replace it in the same market, it will not work. In that sense, there is a clear first-mover advantage. Sometimes you take a decision based on a lot of research or a sound understanding of the market and things can still go wrong. There are instances when you go with your gut or instinct and that could work. Then, of course, there are instances where it is a combination of both.

At Pilibhit House, even at the stage of putting together the drawings, we knew it would work. Our estimate was that we could charge ₹15,000-20,000 per night but we have got to double that number... That is luxury the way I see it.

While latent demand does play a role, there is also the Taj brand name. I just bumped into someone recently and he said he was on his way to Anand Kashi in Rishikesh... When I said Varanasi, he said that was next on his list. It is a case of people picking up a destination where there is a Taj property. That's also luxury since they don't go anywhere and everywhere.



Obviously, location is important...

Yes, that becomes the focal point and we also become a preferred choice for various state governments. We are about to sign deals for two hotels each in Lakshadweep and Diu. Today, Diu is exactly what Fort Aguada [in Goa] was in the 1970s. We have the courage and belief to invest in a new location and get the best out of the first-mover advantage. Plus, we have the bandwidth and it shows in the kind of success in Goa, Kerala and Rajasthan. We are looking to scale our presence in the North East now, and are aiming to have 25 hotels across the seven states. We can do one Vivanta and two Ginger properties... and with time, possibly one or at best, two Taj properties.

We can do it either with a partner or a local person or a combination of both. You must be flexible and the main success factor in the hotel industry has not changed and that is location, location, location! You will never get the footfalls otherwise. **BT**

@krishnagopalan,
@smitabw